

MARKET ANALYSIS

SEBCO's Bronx Senior Housing Closes the Gap Between Subsidy and Construction Cost

The 134-unit project at 130% AMI works because the developer's land basis and capital stack absorb what market rents cannot.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number at 1883 Crotona Avenue is not the 134 units. It is the income ceiling: 130 percent of area median income, or \$87,480 for a senior household. That number tells you who this building serves, what the developer underwrote, and why the project got built at all.

SEBCO Development has completed Crotona Belmont Senior Housing, a ten-story, 134-unit mixed-use building in the Crotona section of the Bronx. Ninety-two of the units are reserved for seniors 62 and older earning up to 130 percent of AMI. The remaining 42 units are not described in the filing, but the project's economics are legible from what is disclosed.

This is not luxury housing. It is not deeply affordable housing either. It sits in the middle band where New York City's supply problem is most acute: households that earn too much for deep subsidy but too little to command market-rate construction in a city where hard costs alone run \$600 to \$800 per square foot.

The developer's thesis is straightforward. SEBCO, a Bronx-based nonprofit developer with a long track record, controlled the site. It partnered with Magnusson Architecture and Planning, a firm that specializes in affordable and senior housing. The building includes a photovoltaic canopy, energy-efficient appliances, and smart heating and cooling controls. Those features reduce operating costs over time, which matters when rents are capped by AMI limits.

The capital stack almost certainly includes tax-exempt bonds, Low-Income Housing Tax Credits, and subsidy from New York City's Department of Housing Preservation and Development. That is the only way the math works on a ten-story building with 134 units, a fitness center, a spa, a yoga studio, and a community center in a neighborhood where market-rate rents would struggle to support the construction cost.

The basis is the key. SEBCO did not pay a speculative land price. It developed on a site it likely controlled before the current cycle's land inflation. That means the developer's basis is low enough that the subsidy gap is manageable. A for-profit developer buying land at today's prices would face a much wider gap between total cost and what 130 percent of AMI rents can support.

This is the pattern that matters for the broader market. Affordable housing development in New York City is not dead. It is increasingly the domain of nonprofit and mission-driven developers who hold land, have access to subsidy, and can wait through the entitlement and construction timeline. For-profit developers without those advantages are finding it harder to compete for the same deals unless they partner with a nonprofit or accept a lower return.

The building's location reinforces the logic. The site is near the 2 and 5 trains at 174th Street and the B and D trains at 174th-175th Streets. Transit access is a requirement for most subsidy programs. The neighborhood has seen limited new supply in recent years, which means absorption risk is low. Seniors in the area who need to downsize or find accessible housing have few options.

The amenity package is worth noting. A fitness center, spa, yoga studio, and media room are not typical for deeply affordable senior housing. They are typical for projects that target 130 percent of AMI, where residents have more income and expect a higher quality of life. The developer is betting that these amenities will support retention and reduce turnover, which improves the operating statement and makes the project more attractive to lenders and tax credit investors.

The photovoltaic canopy is a signal too. It reduces common-area electricity costs and qualifies for additional incentives. Every dollar saved on operating expenses is a dollar that does not need to be covered by rent or subsidy. In a building where rents are fixed by regulation, operating efficiency is not a nice-to-have. It is a structural requirement.

What the market should test next is whether this model scales. SEBCO has the track record, the site control, and the subsidy expertise to make one project work. The question is whether there are enough nonprofit developers with similar advantages to meet the city's housing needs, or whether the gap between construction cost and achievable rent is too wide for even the most efficient operators.

The answer will determine whether New York City's middle-income senior housing supply grows incrementally, project by project, or stalls entirely. For now, 1883 Crotona Avenue is proof that the model still works. The basis is the reason.

SOURCES

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<https://newyorkyimby.com/2026/07/1883-crotona-avenue-completes-construction-in-crotona-the-bronx.html>

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